Benefits of discipline. Self-control bias can cause investors to lose sight of very basic financial principles, such as compounding of interest or dollar cost averaging. By failing to reap these discipline profits over time, clients can miss opportunities for accruing significant long-term wealth. Perhaps the most critical issue is to counsel your clients on the benefits of compounding. There are a number of very effective software programs that can demonstrate that even a minimal, 1 to 2 percent disparity in returns, if compounded over decades, can mean the difference between a comfortable and a subpar retirement. To return to an example that arises frequently in discussions of willpower—the matter of exercising—the benefits of self-discipline in investing, as in physical fitness, are difficult to obtain. The results, however, are well worth it.

NOTES

1. Richard H. Thaler and Hersh M. Shefrin, "The Behavioral Life-Cycle Hypothesis," *Economic Inquiry* 26(4) (1988): 609–643.
2. Richard H. Thaler and Shlomo Benartzi, "Save More Tomorrow: Using Behavioral Economics to Increase Employee Saving," *Journal of Political Economy* 112(1): 5164–5187.
3. Annamaria Lusardi, "Explaining Why So Many Households Do Not Save" (working paper, Irving Harris Graduate School for Public Policy Studies, University of Chicago, 2000).
4. Annamaria Lusardi, "Information, Expectations, and Savings for Retirement," in Henry J. Aaron, ed., *Behavioral Dimensions of Retirement Economics* (Washington, DC: Brookings Institution and Russell Sage Foundation, 1999), 81–155.